HIGHER LEVEL

1. Company Final Accounts including a Manufacturing Account

* Deduct one mark for each heading omitted from P & L A/C.
** No marks lost for order of P & L A/C, i.e. Income before or after Expenses

(a) Manufacturing Account of Simpson Ltd for the year ended 31/12/2020 **(30)**

		€	€	€
Raw Materials				
Opening stock	**(2)**	26,900		
Purchases (w.2)	**(3)**	283,500		
		310,400		
less Closing stock (w.1)	**(2)**	(24,400)		
Cost of Raw Materials			286,000	
Factory Wages (w.8)	**(3)**		80,273	
Prime Cost				366,273
Factory Overheads				
General factory overheads (w.7)	**(4)**		67,600	
Loss on sale of machine (w.11)	**(3)**		3,000	
Depreciation – Plant and machinery (w.11)	**(2)**		50,000	
– Buildings (w.12)	**(1)**		9,845	130,445
Factory Cost				496,718
Add: Work in progress 01/01/2020	**(2)**			35,000
Less: Work in progress 31/12/2020	**(2)**			(18,500)
				513,218
Less: Sale of scrap materals	**(2)**			(33,250)
Cost of manufacture				479,968
Manufacturing Profit	**(2)**			20,032
Transfer to Trading Account	**(2)**			500,000

Trading, Profit and Loss Account for the year ended 31/12/2020 **(40)**

		€	€	€
Sales (w.5)			**(3)**	939,400
Less Cost of Sales				
Opening stock of finished goods			31,500 **(2)**	
Cost of Manufacture			500,000 **(2)**	
			531,500	
less Closing Stock of finished goods (w.1)			(48,800) **(2)**	
Cost of Sales				482,700
Gross Profit				456,700
Manufacturing Profit			**(2)**	20,032*
				476,732
Other Operating Income				
Discount			3,500 **(2)**	
Rent received			25,000 **(2)**	28,500
				505,232
Administration Expenses				
Administration expenses	**(2)**	95,800		
Depreciation on buildings (w.12)	**(1)**	9,845		
Goodwill written off (w.3)	**(2)**	9,000		
Bad debt	**(2)**	1,200		
Bank charges	**(2)**	125	115,970	
Selling & Distribution Expenses				
Selling & distribution expenses		**(2)**	21,800	137,770
Operating Profit				367,462
Investment Income (w.14)			**(2)**	2,100
Interest Payable (w.15)			**(2)**	(8,000)
Profit before Tax				361,562
Corporation tax			**(2)**	(63,000)
Profit after Tax				298,562
less Dividends paid			**(2)**	(23,500)
Retained Profit				275,062
Profit and loss balance 01/01/2020			**(2)**	90,450
Profit and loss balance 31/12/2020			**(4)**	**365,512****

*: accept own figure
**: accept correct figure only

(b) Balance Sheet of Simpson Ltd as at 31/12/2020 **(50)**

		€		€		€
Intangible Assets						
Goodwill (w.3)					**(2)**	9,000
Tangible Fixed Assets		**Cost**		**Acc. Dep**		**Net Book Value**
Land and buildings (w.10 & w.12)	**(3)**	2,000,000		0		2,000,000
Plant and machinery (w.11)	**(2)**	400,000	**(3)**	162,500		237,500
		2,400,000		162,500		2,237,500
Financial Assets						
2% Investments					**(2)**	180,000
						2,426,500
Current Assets						
Stock: Raw material (w.1)	**(2)**	24,400				
Work in progress	**(2)**	18,500				
Finished goods (w.1)	**(2)**	48,800				
Debtors (w.4)	**(4)**	129,500				
Bank (w.6)	**(4)**	126,425				
Investment income due (w.14)	**(2)**	2,100		349,725		
Less Creditors: amounts falling due within one year						
Creditors (w.6)	**(3)**	55,400				
Interest payable due (w.15)	**(2)**	500				
Wages due (w.8)	**(2)**	973				
PAYE, PRSI, USC	**(2)**	24,350				
VAT	**(2)**	6,300				
Corporation Tax due	**(2)**	63,000		150,523		
Net Current Assets						199,202
TOTAL NET ASSETS						2,625,702
FINANCED BY:						
Creditors: amounts falling due after more than one year						
6% Debenture					**(2)**	200,000
Capital and Reserves		**Authorised**		**Issued**		
Ordinary shares @ €1 each	**(1)**	2,000,000	**(1)**	900,000		
4% Preference shares @ €1 each	**(1)**	500,000	**(1)**	100,000		
		2,500,000		1,000,000		
Revaluation Reserve (w.13)	**(2)**	1,060,190				
Profit and loss balance 31/12/2020	**(1)**	365,512* *accept own figure*				
				1,425,702		2,425,702
CAPITAL EMPLOYED						2,625,702

Workings
Breakdown of individual marking scheme:
Penalise 1 mark each for the omission of two headings (Admin. and Selling & Dist.) in the Profit & Loss Account and Revaluation Reserve after Profit and Loss balance in Balance Sheet. (Total Penalty max 3 marks)

1	**Closing Stock**				
	Raw Materials	19,400 + 5,000	2 Manuf+2 BS		24,400
	Finished goods	36,800 + 12,000	2 Manuf+2 BS		48,800
2	Purchases	295,000 + 5,000 – 16,500	1+1+1		283,500
3	Goodwill amortized **(P&L A/C)**	72,000 / 8	1+1		9,000
	Goodwill **(B. Sheet)**	18,000 – 9,000	1+1		9,000
4	Debtors	145,400 – 15,600 – 300 + (1,200 – 1,200)	0+1+1+1+1		129,500
5	Sales	955,000 – 15,600	1+2		939,400
6	Creditors	41,600 + 8,800 + 5,000	2+1+1		55,400
7	General Factory overhead	58,500 + 300 + 8,800	1+1+2		67,600
8	Direct Factory Wages	97,300 + 973 – 18,000	1+1+1		80,273
	Wages due	973	2		973
9	Bank	93,250 – 125 – 1,200 + 34,500	1+1+1+1		126,425
10	Land and buildings	1,200,000 + 18,000 + 16,500 + 765,500	0+1+1+1		12,345
11	Plant and machinery	450,000 – 50,000	1 + 1		400,000
	Provision for Depreciation	125,000 + 50,000 – 12,500	1+1+1		162,500
	Depreciation on P & M	400,000 × 12.5%	2		50,000
	Loss on Disposal	50,000 – 12,500 – 34,500	1+1+1		3,000
12	Land and buildings				
	Provision for Depreciation	275,000 + 19,690 – 294,690			0
	Depreciation to P & L	(1,234,500 – 250,000) × 2%		**(1)**	**Manuf** 9,845
				(1)	**P & L** 9,845
13	Revaluation Reserve	765,500 + 294,690	1+1		1,060,190
14	Investment Income	180,000 × 2% × 7/12	1+1		2,100
	Invest Income due	180,000 × 2% × 7/12	2		2,100
15	Interest payable (100,000 × 6%) +	(100,000 × 6% × 4/12)	1+1		8,000
	Interest payable due	8,000 – 7,500	1+1		500

Workings – Manufacturing Firm
Workings in T account format

1 **Stocks**:

Finished Goods	31/12	36,800	
	Sale or Return	12,000	adj (iii)
		48,800	
Raw Materials	31/12	19,400	
	In Transit	5,000	adj (vii)
		24,400	

2 **Goodwill**

31/12	18,000	
Amortization	-9,000	P&L
	9,000	BS

3 **Sale or Return**

Debtors A/C

B/D	145,400	Sale or return	15,600
		C/D	129,800
	145,400		145,400
B/D (note 4)	129,800		

Sales A/C

Sale or return	15,600	B/D	955,000
C/D	939,400		
	955,000		955,000
		B/D	939,400

4 **Debtors A/C**

B/D (note 3)	129,800	Discount allowed	300
		C/D	129,500
	129,800		129,800
B/D (note 6)	129,500		

Creditors A/C

		B/D	41,600
C/D	50,400	Purchase error	8,800
	50,400		50,400
		B/D (note 7)	50,400

Suspense A/C

Discount	300	Gen Factory O/H	9,100
Purchases	8,800		
	9,100		9,100

General Factory Overhead A/C

B/D	58,500		
Suspense	9,100	C/D	67,600
	67,600		67,600
B/D	67,600		

5 Wages

Wages A/C

B/D	97,300		
Wages due	973	C/D	98,273
	98,273		98,273
B/D (note 8)	98,273		

Wages due A/C

		Wages **	973

** 97,300 × 4% × 3/12 = 973

6 Bank Account

Bank A/C

B/D	93,250	Bank charges	125
		Drs – D/H cheque	1,200
		C/D	91,925
	93,250		93,250
B/D (note 9)	91,925		

Bank Reconciliation

	€
Balance per Bank statement	97,425
less cheque not yet presented	– 5,500
Balance per Bank account	91,925

Bank Charges A/C

Bank	125		

Debtors A/C

B/D (note 4)	129,500	Bad Debt	1,200
Bank D/H Chq	1,200	C/D	129,500
	130,700		130,700
B/D	129,500		

Bad Debt A/C

Debtors	1,200		

7 Goods in Transit

Creditors A/C

		B/D (note 4)	50,400
C/D	55,400	Goods in transit	5,000
	55,400		55,400
		B/D	55,400

Purchases A/C

B/D	295,000		
Goods in transit	5,000	C/D	300,000
	300,000		300,000
B/D (note 8)	300,000		

8 Extension

Land & Buildings A/C

B/D	1,200,000		
Factory Wages	18,000		
Purchases	16,500	C/D	1,234,500
	1,234,500		1,234,500
B/D (note 10)	1,234,500		

Factory Wages A/C

B/D (note 6)	98,273	Extension	18,000
		C/D	80,273
	98,273		98,273
B/D	80,273		

Purchases A/C

B/D (note 7)	300,000	Extension	16,500
		C/D	283,500
	300,000		300,000
B/D	283,500		

9 Disposal of Machinery

Plant & Machinery A/C

B/D	450,000	Disposal	50,000
		C/D	400,000
	450,000		450,000
B/D	400,000		

Provision for Depreciation A/C

Disposal	12,500	B/D	125,000
C/D	162,500	P & L	50,000
	175,000		175,000
		B/D	162,500

Disposal of Machinery A/C

Machinery	50,000	Depreciation	12,500
		Bank	34,500
		Loss to P & L	3,000
	50,000		50,000

Bank A/C

B/D (note 6)	91,925		
Machinery sale	34,500	C/D	126,425
	126,425		126,425
B/D	126,425		

10 Depreciation/Revaluation

Land & Buildings A/C

B/D (note 8)	1,234,500		
Revaluation Res	765,500	C/D	2,000,000
	2,000,000		2,000,000
B/D	2,000,000		

Provision for Depreciation A/C

Revaluation Res	294,690	B/D	275,000
C/D	0	P & L	19,690
	294,690		294,690
		B/D	0

Revaluation Reserve A/C

		Land & Buildings	765,500
C/D	1,060,190	Depreciation	294,690
	1,060,190		1,060,190
		B/D	1,060,190

11 Investment Income, Debenture Interest & Taxation

Investment Income A/C

P & L	2,100		
180,000 × 2% × 7/12 = 2,100			

Interest Payable A/C

B/D	7,500	P & L	8,000
C/D	500		
	8,000		8,000
		B/D	500

100,000 × 6% = 6,000
100,000 × 6% × 4/12 = 2,000Total €8,000

Corporation Tax A/C

		P & L	63,000

1(B) Final Accounts – Sole Trader

* *Deduct one mark for each heading omitted from P & L A/C.*
** *No marks lost for order of P & L A/C, i.e. Income before or after Expenses*
*** *Mortgage Interest can be included as Administration expense*

(a) Trading, Profit & Loss A/C of Walter White for the year ended 31/12/2020 **(70)**

		Working	€		€	€	
	Sales			**(3)**		620,000	
	less Cost of Sales						
	Opening Stock			**(3)**	28,450		
	add Purchases	**1**		**(6)**	366,900		
					395,350		
	less Closing Stock	**2**		**(4)**	(33,900)		
	Cost of Sales					361,450	
	Gross Profit					258,550	
**	**Other Income**						
	Profit on Disposal of Equipment	**3**	250	**(6)**			
	Investment Income	**4**	4,400	**(4)**			
	Discount Received		550	**(4)**		5,200	
	Total Income					263,750	
*	**Administration Expenses**						
	Salaries & General Expenses		75,200	**(3)**			
	Insurance	**20**	14,700	**(3)**			
	Depreciation on Buildings	**5**	9,000	**(4)**			
	Depreciation on Office Equipment	**6**	2,800	**(4)**			
	Rent		2,600	**(3)**			
	Loss on Damaged Stock	**7**	750	**(4)**			
	Patent written-off	**8**	9,000	**(4)**	114,050		
*	**Selling & Distribution Expenses**						
	Depreciation on Vans	**9**	14,625	**(4)**			
	Loss on Disposal of Delivery Van	**10**	1,000	**(3)**			
	Commission		4,500	**(3)**	20,125		
	Financial Expenses						
***	Mortgage Interest	**11**	15,000	**(3)**	15,000		
	Total Expenses					(149,175)	
	Net Profit			*correct figure only*		**114,575**	**(2)**

Note: Profit on Disposal of Equipment can also be included with Discount Received

(b) Balance Sheet of Walter White as at 31/12/202050

		Working	€	€	€	€	
	Intangible Assets						
	Patent	**8**				45,000	**(3)**
	Tangible Fixed Assets		**Cost**	**Acc Dep**	**NBV**		
	Buildings	**12**	450,000	9,000	441,000		**(3)+(2)**
	Delivery Vans	**13**	100,000	23,625	76,375		**(3)+(2)**
	Office Equipment	**14**	14,000	11,300	2,700		**(2)+(2)**
			564,000	43,925	520,075	520,075	
	Financial Assets						
	4% Investments					120,000	**(2)**
						685,075	
	Current Assets						
	Debtors	**15**	55,810 **(2)**				
	less Provision for Bad Debts		(3,100) **(1)**	52,710			= **(3)**
	Stock	**2**		33,900	accept own figure		**(1)**
	Investment Income due	**4**		3,600			**(2)**
	Insurance Compensation due	**2**		3,000			**(2)**
	VAT	**16**		3,075			**(2)**
					96,285		
	Less Creditors: (amounts falling due within 1 year)						
	Creditors	**17**		51,800			**(3)**
	Bank Overdraft			32,130			**(2)**
	PAYE/PRSI/USC			5,750			**(2)**
	Mortgage Interest due	**11**		7,500			**(3)**
					(97,180)		
	Working Capital					(895)	
	Total Net Assets					684,180	
	FINANCED BY:						
	Creditors: (amounts falling due after 1 year)						
	6% Fixed Mortgage					250,000	**(3)**
	Capital				203,880		**(2)**
	Revaluation Reserve	**18**			141,075		**(2)**
add	Net Profit				114,575	accept own figure	**(1)**
					459,530		
less	Drawings	**19**			(25,350)	434,180	**(3)**
	Capital Employed					684,180	

Question 1 – Workings

Breakdown of individual marking scheme:
Penalise 1 mark for the omission of two headings in the Profit & Loss Account and Revaluation Reserve after Net Profit in Balance Sheet.

				€
1.	Purchases	395,000 – 3,750 + 6,400 – 24,000 – 6,750	2+1+1+1+1	366,900
2.	Closing Stock	27,500 + 6,400	2+2	33,900
3.	Profit on Disposal of Equipment	3,500 -1,000 – 2,750	2+2+2	250
4.	Investment Income	120,000 × 4% × 11/12	4	4,400
	Investment Income due	4,400 – 800	1 + 1	3,600
5.	Depreciation on Buildings	(390,000 – 6,075 + 66,075) × 2%	1+1+1+1	9,000
6.	Depreciation on Office Equipment	(17,500 – 3,500) × 20%	1+1+2	2,800
7.	Loss on Damaged Stock	3,750 – 3,000	2 + 2	750
8.	Patent write-off	(53,200 + 800) / 6	1+2+1	9,000
	Patents	53,200 + 800 – 9,000	1+1+1	45,000
9.	Depreciation on Vans	(95,000 × 15% × 6/12) + (100,000 × 15% × 6/12)	2 + 2	14,625
10.	Loss on Disposal D. Van	30,000 – 18,000 – 11,000	1 + 1 + 1	1,000
11.	Mortgage Interest	(250,000 × 6%)	2 + 2	15,000
	Mortgage Interest due	15,000 – 7,500 (i.e. 7,600 – 100)	1 + 1 + 1	7,500
12.	Buildings	390,000 – 6,075 + 66,075	1+1+1	450,000
	Accum Deprec. on Buildings	75,000 – **75,000 + 9,000**	1+1	9,000
13.	Delivery Vans	95,000 – **30,000 + 24,000 + 11,000**	1+1+1	100,000
	Accum Deprec. on Del. Vans	27,000 + **14,625 – 18,000**	1+1	23,625
14.	Office Equipment	17,500 – 3,500	1+1	14,000
	Accum Deprec. on Office Equip.	9,500 + **2,800 – 1,000**	1+1	11,300
15.	Debtors	56,210 – 400	1 + 1	55,810
16.	VAT	(3,000) + 6,075	1 + 1	3,075
17.	Creditors	48,150 + 6,400 – 2,750	1 + 1 + 1	51,800
18.	Revaluation Reserve	66,075 + 75,000	1 + 1	141,075
19.	Drawings	18,600 + 6,750	2 + 1	25,350
20.	Insurance	14,200 + 400 + 100	1 + 1 + 1	14,700

WORKINGS – SOLE TRADER

Workings in T account format

1	**Closing Stock**:	Initial value 31/12	27,500
		add Goods 'in Transit' (viii)	6,400
8	**Damaged Stock & Goods in Transit**:		33,900

Purchases A/C

	B/D	395,000	Damaged Stock	3,750
(viii)	In Transit – Crs	6,400	C/D	397,650
		401,400		401,400
	B/D	397,650	> *note 2*	

Damaged Stock A/C

Purchases	3,750	Insurance due	3,000
		Loss P/L	750
	3,750		3,750

Insurance Compensation due A/C

Damaged Stock	3,000	

Creditors A/C

		B/D	48,150	
C/D	54,550	In Transit – Purchases	6,400	(viii)
	54,550		54,550	
		B/D	54,550	
		> *note 9*		

2 **Dep on Vans @ 15%.**

Delivery Van A/C

B/D	95,000	Disposal	30,000
Bank	**24,000**		
Trade In	11,000	C/D	100,000
	130,000		130,000
B/D	100,000		

Provision for Depreciation A/C

Disposal	18,000	B/D	27,000
C/D	23,625	P & L *	14,625
	41,625		41,625
		B/D	23,625

Disposal A/C

Van	30,000	Deprec. ***	18,000
		Trade In	11,000
		Loss to P/L	1,000
	30,000		30,000

***

30,000 × 15% =		4,500	*	
Yr	**months**	**dep**	**P & L Charge for 2020**	*
2016	6	2,250	30,000 × 15% × 6/12 =	2,250
2017	12	4,500	35,000 × 15% × 6/12 =	2,625
2018	12	4,500	65,000 × 15% =	9,750
2019	12	4,500		14,625
2020	6	2,250		
		18,000		

Purchases A/C

B/D	397,650	**Van error**	**24,000**
		C/D	373,650
	397,650		397,650
B/D	373,650	*> note 7*	

3 **Insurance A/C (incl. Suspense)**

B/D	14,200		
Drs error	400		
Mortgage Interest error	100	C/D	14,700
	14,700		14,700
B/D	14,700		

Discount A/C

		B/D ***OK***	550

Mortgage Interest A/C

B/D	7,600	Suspense (Mortg. Int)	100
		C/D **	7,500
	7,600		7,600
B/D	7,500	*> note 10*	

*** Mortgage Interest for first six months: 250,000 × 6% × 6/12 = 7,500*

Debtors A/C

B/D	56,210	Suspense (Disc All'd)	400
		C/D	55,810
	56,210		56,210
B/D	55,810		

4 **Patents**

Patents A/C

B/D	53,200	P & L	9,000	(54,000 W/O over 6 years)
Inv. Income Error	800	C/D	45,000	
	54,000		54,000	
B/D	45,000			

Investment Income A/C

		Patents Error	800 (120,000 × 4%x 2/12)
		> note 10	

5 **Warehouse**

Buildings A/C

B/D	390,000	1/1 Vat Error	6,075
		C/D	383,925
	390,000		390,000
B/D	383,925		

VAT A/C

Buildings	6,075	B/D	3,000
		C/D	3,075
	6,075		6,075
B/D	3,075		

6 **Buildings A/C**

B/D	383,925		
Reval. Res	66,075	C/D	450,000
	450,000		450,000
B/D	450,000		

Provision for Depreciation A/C

Reval. Res	75,000	B/D	75,000
Bal C/D	9,000	P & L (450,000 × 2%)	9,000
	84,000		84,000
		B/D	9,000

Revaluation Reserve A/C

		01/01 Buildings	66,075
C/D	141,075	Depreciation	75,000
	141,075		141,075
		B/D	141,075

7 **Drawings**: 8,100 × 100/120 = 6,750

Purchases A/C

B/D	373,650	Drawings	6,750
		C/D	366,900
	373,650		373,650
B/D	366,900		

Drawings A/C

B/D	18,600		
Purchases	6,750	C/D	25,350
	25,350		25,350
B/D	25,350		

9 Disposal of Office Equipment

Office Equipment A/C

B/D	17,500	Disposal	3,500
		C/D	14,000
	17,500		17,500
B/D	14,000		

Provision for Depreciation A/C

Disposal	1,000	B/D	9,500	
C/D	11,300	P&L	2,800	(14,000 × 20%)
	12,300		12,300	
		B/D	11,300	

Disposal of Equipment A/C

Equipment	3,500	Depreciation	1,000
Profit to P&L	250	Creditors	2,750
	3,750		3,750

Creditors A/C

Disposal of Equip	2,750	B/D	54,550
C/D	51,800		
	54,550		54,550
		B/D	51,800

10 Mortgage Interest A/C

B/D	7,500	P & L **	15,000
C/D	7,500		
	15,000		15,000
		B/D	7,500

** 250,000 × 6% = 15,000

Investment Income A/C

*	P & L	4,400	B/D	800
*	(120,000 × 4% × 11/12)		C/D	3,600
		4,400		4,400
	B/D	3,600		

2. Debtors Control Account

(a) **Debtors Ledger Control A/C** **(30)**

Balance b/d	**(2)**	25,540	Balance b/d	**(2)**	340
Invoice (i)	**(4)**	576	Bills Receivable (iii)	**(4)**	1,600
Credit note/Restocking charge (ii)	**(4)**	25	Interest (v)	**(4)**	12
Refunds (iv)	**(4)**	170	Credit Note (vi)	**(4)**	720
Balance c/d	**(2)**	170	Balance c/d		23,809
		26,481			26,481
Balance b/d		23,809	Balance b/d		170

(b) **Adjusted List (Schedule) of Debtors' Balances** **(22)**

		€		€	
Original Balance per list			**(2)**	23,130	****
ADD:	Invoice (i)	1,280	**(4)**		
	Refunds (iv)	170	**(3)**	1,450	
				24,580	
LESS:	Credit Note (ii)	200	**(3)**		
	Interest (v)	21	**(4)**		
	Credit Note (vi)	720	**(4)**	(941)	
Balance as per Adjusted Control A/C		**	**(2)**	23,639	(23,809 – 170)

**** Accept correct figure only.
** Accept student's own figure(s).

Workings: (note 'S/B' refers to 'should have been')

(i)

Control				List			
X	64			S/B	640	X	640
S/B	640				**>1,280**		
	>576						

(ii)

		X	250	X	225	X	250
	>25	S/B	225			S/B	225
							>200

(iii)

X	800	S/B	800				
			>1600		OK		OK

(iv)

S/B	170			S/B	170		
	>170				**>170**		

(v)

X	112			X	121		
S/B	100		**>12**	S/B	100		**>21**

(vi)

		S/B	720			S/B	720
			>720				**>720**

(c) **(8)**

(i) **Contra Item** **(4)**
This is where a customer is also a supplier to a business. In this case a debt incurred as a customer is offset against a debt charged as a supplier to leave one net figure in the accounts.

(ii) **Limitations of using control accounts (2+2=4)**
* Control accounts do not identify which ledger account may contain an error.
* Some types of error are not revealed by the control account such as errors of commission, errors of omission, compensating errors and errors of original entry.

3. Service Firm

(a) Statement of Capital at 01/01/2020 **(18)**

	€		€	
Assets				
Surgery	350,000	**(1)**		
Accumulated Depreciation	(14,000)	**(1)**		
Equipment	45,000	**(1)**		
Accumulated Depreciation	(18,000)	**(1)**		
Furniture	15,000	**(1)**		
Accumulated Depreciation	(3,000)	**(1)**		
4% Investments	50,000	**(1)**		
Stock – Dental supplies	1,350	**(1)**		
Insurance prepaid	820	**(1)**		
Investment Income due (W.2)	500	**(2)**		
Medical Card Scheme due	6,450	**(1)**		
Bank	1,940	**(1)**	436,060	
Liabilities				
Creditors dental supplies	1,000	**(1)**		
Loan (W.1)	25,000	**(2)**		
Loan interest due (W.1)	1,375	**(1)**	27,375	
Capital at 01/01/2020		**(1)**	408,685	**

**** Accept correct figure only**

(b) Profit & Loss Account of M. Tierney for year ended 31/12/2020 **(30)**

	€		€
Income			
Private patient income (W.3)	65,120	**(3)**	
Medical Card Scheme (W.4)	93,950	**(3)**	
Investment income (W.2)	2,000	**(1)**	161,070
less **Expenses**			
Telephone (W.6)	2,730	**(2)**	
Light & Heat (W.7)	1,755	**(2)**	
Insurance (W.8)	9,070	**(3)**	
Cleaning expenses	5,000	**(1)**	
Receptionist's wages	18,000	**(1)**	
Purchases dental supplies (W.9)	24,000	**(4)**	
Loan interest (W.1)	875	**(1)**	
Locum's wages (W.10)	8,000	**(2)**	
Bank charges	95	**(2)**	
Loss on Disposal – Furniture	3,100	**(2)**	
Depreciation : Surgery	7,000	**(1)**	
: Equipment	9,000	**(1)**	
: Furniture (W.5)	2,000	**(1)**	90,625
Net Profit			70,445

Workings:

1 Loan & Loan Interest

Loan: 100/109 × 27,250 = €25,000 > Capital 01/01 **(2)**

Loan Interest: 27,250 – 25,000 = 2,250

Due =	2,250 × 11/18 =	1,375	**(1)**
I & E =	2,250 × 7/18 =	875	**(1)**

2 Investment Income

Received	2,500		**(1)**
Receivable (€50,000 × 4%)	2,000	***I&E***	**(1)**
Inv. Income due at 01/01	500	***Acc Fund***	

3 Private Patient Income:

Received	64,500	**(1)**
- dishonoured chq	– 160	**(1)**
+ amount due 31/12(620 + 160)	780	**(1)**
	65,120	

4 Medical Card Scheme

Received	88,000	**(1)**
- amounts due at 01/01	– 6,450	**(1)**
+ amounts due at 31/12	12,400	**(1)**
	93,950	

5 Sale of Furniture

Furniture A/C

B/D **(1)**	15,000	Disposal	7,000	
Bank	12,000	C/D	20,000	
	27,000		27,000	
B/D	20,000			

Provision for Depreciation A/C

Disposal	1,400	B/D	3,000	**(1)**
C/D	3,600	I & E	2,000	**(1)**
	5,000		5,000	
		B/D	3,600	

Disposal A/C

Furniture	7,000	Deprec.	1,400	
		Bank	2,500	
		Loss	3,100	**(2)**
	7,000		7,000	

6 Telephone

Bank	3,640	**(1)**
less Drawings (25%)	– 910	**(1)**
I & E	2,730	

7	**Light & Heat**			
	Bank	2,340	**(1)**	
	less Drawings (25%)	-585	**(1)**	
	I & E	1,755		
8	**Insurance**			
	Bank	9,900	**(1)**	
	+ prepayment 01/01	820	**(1)**	
	- prepayment 31/12	-1,650	**(1)**	(9,900 × 2/12)
	I & E	9,070		
9	**Purchases Dental Supplies**			
	Bank	24,500		
	+ Stock 01/01	1,350	**(1)**	
	- Creditors 01/01	-1,000	**(1)**	
	- Stock 31/12	-3,650	**(1)**	
	+ Creditors 31/12	2,800	**(1)**	
	Cost – I & E	24,000		
10	**Locum's wages**			
	Drawings (error)	2,000	**(1)**	
	+ amount due 31/12	6,000	**(1)**	
	I & E	8,000		

(c) (i) **(6)**

Drawings A/C

Telephone **(2)**	910	Capital account	25,495
Light & Heat **(2)**	585		
Bank**(2)**	24,000		
	25,495		25,495

(ii) Reasons why it is important to keep a proper record of drawings **(6)**

Any 2 points at 3 marks each

> If drawings are not treated correctly in the accounts, items of a private nature not related to the business may be entered as expenses. This will have the effect of overstating expenses and understating profits.

> The Revenue Commissioners would always look closely at the drawings figure if doing an inspection, to see if it is a reasonable figure. If the drawings figure is relatively low they could take the view that household expenditure is being claimed as business expenditure, thereby lowering the income tax liability.

> It is also essential to monitor how much is taken from the business in the form of drawings in order to exercise control.

4. Cash Flow Statement

(a) Reconciliation of operating profit to net cash flow from operating activities (15) **(52)**

	€	
Operating profit	91,450	**(2)**
Depreciation charge for the year	32,000	**(3)**
Profit on sale of fixet assets	(30,000)	**(2)**
Amortization of goodwill	12,000	**(2)**
Increase in stock	(16,000)	**(2)**
Decrease in debtors	2,500	**(2)**
Increase in creditors	11,000	**(2)**
Net Cash inflow from Operating Activities	102,950	

Cash Flow Statement of Russell plc for the year ended 31/12/2020 (31)

Operating Activities	€		€
Net cash inflow from operating activities		**(2)**	102,950*(own figure)*
Return on Investment and Servicing of Finance			
Interest received	2,400	**(2)**	
Interest paid	(4,700)	**(2)**	(2,300)
Taxation			
Corporation tax paid		**(3)**	(20,500)
Capital Expenditure and Financial Investment (1)			
Payments to acquire fixed assets	(20,000)	**(2)**	
Receipts from sale of fixed assets	40,000	**(2)**	
Purchase of investments	(100,000)	**(2)**	(80,000)
Equity Dividends Paid (1)			
Ordinary dividends paid		**(2)**	(17,500)
Net Cash outflow before Management of Liquid Resources and Financing			(17,350)
Management of Liquid Resources (1)			
Purchase of government securities		**(2)**	(35,000)
Financing (1)			
Repayment of debenture	(20,000)	**(2)**	
Receipts from the issue of shares	75,000	**(2)**	
Receipts from share premium	7,500	**(2)**	62,500
Increase in Cash		**(2)**	**10,150** **

** accept correct figure only

Change in Cash/Bank position	**2019**		**2020**
Cash	850		1,500
Bank	-4,500		5,000
	-3,650		6,500
		+10,150	

Reconcilation of Net Cash Flow to movement in Net Debt (6)

	€		
Increase in Cash	10,150		
Cash used to purchase liquid resources	35,000	**(2)**	
Cash used to repay debentures	20,000	**(2)**	
Change in net debt	**65,150**		
Net debt 01/01/2020	(71,650)	**(1)**	*
Net debt 31/12/2020	(6,500)	**(1)**	*

*** Net Debt**	**01/01/2020**	**31/12/2020**
Cash/Bank	(3,650)	6,500
Debentures	(80,000)	(60,000)
Government securities	12,000	47,000
	(71,650)	(6,500)

(b) What information about a firm's financial position is highlighted to its management by a cash flow statement? (8)

any 2 × 4 marks

(i) It would make clear if a firm is Overtrading **(2)** or not. If a firm had Operating Profits **(1)** but a Net Cash outflow **(1)** from operating activities this would be a very strong indicator of overtrading.

(ii) It would explain in detail the reasons why the cash/bank position **(2)** has changed from the start **(1)** of the year to the end **(1)** of the year.

(iii) It would also give the change **(2)** in the real borrowings **(2)** position from the start of the year to the end of the year.

(iv) It shows why profit **(1)** does not always equal **(1)** a corresponding increase **(1)** in cash **(1)**.

Workings *** refers to missing figure(s)*

1

Taxation A/C

Bank **	20,500	B/D	12,500
C/D	16,000	P & L	24,000
	36,500		36,500

2

Interest Payable A/C

Bank **	4,700	B/D	3,000
C/D	2,500	P & L	4,200
	7,200		7,200

3

Interest Receivable A/C

B/D	300	Bank **	2,400
P & L	2,500	C/D	400
	2,800		2,800

4

Buildings A/C

B/D	700,000	Disposal **	25,000
-		C/D	675,000
	700,000		700,000

Provision for Depreciation A/C

Disposal **	15,000	B/D	43,000
C/D	46,000	P & L	18,000
	61,000		61,000

Disposal A/C

Buildings	25,000	Depreciation**	15,000
Profit to P&L**	30,000	Bank	40,000
	55,000		55,000

5. Interpretation of Accounts

(a) **(50)**

(i) **Dividend Yield on Ordinary shares**: **(10)**

$$\frac{\text{Dividend per share}}{\text{Market Price}} \times 100 = \frac{1.67}{45} \times 100 = \mathbf{3.71\%}$$

(2) **(2)** **(2)**

DPS =	Ordinary Dividends / No. Ordinary Shares	= 15,000 / 900,000	= 0.01666 = 1.67c
	(2)		**(2)**

(ii) **Price earnings ratio** **(10)**

$$\frac{\text{Market Price}}{\text{EPS}} = \frac{45}{5{,}4} = 8.3333 = \mathbf{8.33\ years}$$

(2) **(2)** **(2)**

EPS =	Earnings / No. Ordinary shares	= 49,000 / 900,000	= 0.0544 = 5.4c
	(2)		**(2)**

(iii) **Interest Cover** **(8)**

$$\frac{\text{Operating Profit}}{\text{Interest}} = \frac{75{,}000}{16{,}000} = 4{,}688 = \mathbf{4.69\ times}$$

(3) **(3)** **(2)**

(iv) **Cash Purchases** **(12)**

Creditors days = $\frac{\text{Creditors} \times 12}{\text{Credit Purchases}}$ *Let X = credit purchases* **(2)**

> $\frac{110000 \times 12}{X} = 2$ **(3)**

> $2X = 1{,}320{,}000$

> $X = 660{,}000$ **(2)**

Opening Stock + Purchases – Closing Stock = Cost of Sales

> P = CofS + CS – OS

> P = 920,000 + 62,000 – 54,000

> P = 928,000 **(3)**

Total Purchases – Credit Purchases = Cash Purchases

> Cash Purchases = 928,000 – 660,000

= **€ 268,000** **(2)**

(v) **Return on Capital Employed** **(10)**

$$\frac{\text{Operating Profit}}{\text{Capital Employed}} \times 100 = \frac{75{,}000}{1{,}398{,}000} \times 100$$

(3) **(3)**

= 5,365

= **5.36%** **(4)**

Note: *Full marks awarded for correct answer even if no workings or incorrect workings shown*
Figures in brackets show breakdown of marks if final answer incorrect

(b) Advice to friend whether to buy shares in Iremo Plc **(40)**

Seven points required and must cover first six headings.

I have analysed Iremo Plc under the following headings:

Profitability (7) (Performance)
The return on capital employed has increased from 4.8% in 2019 to 5.36% in 2020 (1).
The trend (1) is satisfactory but 5.36% is relatively small when compared to the return from risk-free investments of around 1% (1) and the risk that is being taken. 5.36% is also well below the current lending rate of 8% (1), which would be a concern if the company was highly geared, which fortunately it is not.

The return on equity funds has increased from 3.45% (1) in 2019 to 4.91% in 2020 (1). A potential shareholder would be encouraged with this trend but for the risk that one would be taking may be a little disappointed that the company is not making a greater return on investment (1).

Investment/Dividend Policy (7) (Performance)
Dividend cover has increased from 2.47 times in 2019 to 3.23 times in 2020 (1). This would indicate that management currently have a policy of paying less than a third of its profits in the form of dividends and retaining more than two-thirds for the future expansion of the company (1). A potential shareholder would have to consider would he/she be investing for the short-term or longer-term (1); if the latter, then that would be quite acceptable.

The dividend per share has increased from 1.5c in 2019 to 1.67c in 2020 (1). A shareholder would be pleased with this improvement.
The earnings per share has increased from 3.7c in 2019 to 5.4c in 2020 (1). Shareholders would be pleased with this trend and reflects a greater performance by the company.
The dividend yield has dropped slightly from 4.05% in 2019 to 3.71% in 2020 (1). Shareholders would be reasonably pleased when compared to the return from risk-free investments of around 1% (1).

Liquidity (6) (State of Affairs)
The acid test ratio has decreased slightly from 1.2:1 in 2019 to 1.1:1 in 2020 (1). The trend is a slight concern, however 1.1:1 is just above the accepted standard of 1:1 (1), which would indicate that Iremo plc should have no problem paying its ongoing debts (1).
Presently for every €1 that it owes on the short-term it has €1.10 in liquid assets to repay those short-term debts (2). A potential shareholder would be satisfied that management is managing its working capital efficiently and the company should not run into cash flow problems (1).

Gearing (6) (State of Affairs)
Capital gearing has decreased from 44.2% in 2019 to 28.61% in 2020 (1). The trend is satisfactory and as Iremo plc is lowly geared it would be deemed a less risky (1) investment with most of its long-term finance coming from equity shareholders (1). This would mean that a greater portion of profits would be available to be paid to shareholders in the form of dividends. Shareholders would be satisfied with that.

Interest cover has decreased from 6.2 times in 2019 to 4.69 times in 2020 (1). This is a slightly worsening trend but the company still appears to be making ample profits to cover loan interest payments (1). Shareholders would be pleased that Iremo plc appears to be a company in a sound financial state (1).

Allow marks within commentary provided it is consistent with student's own figures.

Sector (5)
Iremo plc is a manufacturer of personal protective equipment in the health and safety sector (1). This would always have been seen as a niche but steady market with opportunities both at home and abroad (1).
In the short-term with the outbreak of Covid-19 there has been huge demand for PPE and and should lead to huge opportunities in the immediate future (1).
In the long-term this sector will become a lot more competitive with more firms entering the market (1). This will require the firm to become more efficient in its production systems so that prices can be maintained at a competitive level (1).

Market Value of Shares (5)
The share price has risen from €0.37 in 2019 to €0.45 in 2020 (1) and this trend is likely to continue in light of world events in relation to Covid-19 (1). This will please shareholders as it indicates stock market confidence in the company (1). Based on current earnings it will take 8.33 years to recover its market price (1) compared to 10 years in 2019, which makes it more attractive to potential shareholders (1).

** Any one of these two headings to be awarded two marks.

** **Investments (2)**
Investments which cost the company €250,000 now have a market value of €265,000 (1)
Shareholders would be satisfied and have confidence in the management of the company in relation to their investment decision-making (1).

** **Intangible Assets (2)**
Intangible assets are valued at €100,000 in the balance sheet (1). Shareholders would be interested to know what the figure actually represents (1), ie. Goodwill or maybe a patent on some equipment it has designed. If it is a patent it may have a transferable value.
There is always a concern with intangible assets in a balance sheet that it can have the effect of a firm being overvalued.

Conclusion (2)
Though there is a concern that profitability (1) figures could be higher, Iremo plc would appear to be a solid company built on a sound financial basis. With the opportunities being presented by the Covid-19 pandemic to this sector I would advise a friend to buy (1) shares in the company.

Other answers are also acceptable provided they are supported with relevant information.
Breakdown of marks/figures given in brackets.
No marks awarded for paragraph on fixed assets/security.

Workings

		2020	2019
Gross Profit	1,190,000 – 920,000	270,000	
Operating Profit	59,000 + 16,000	75,000	
Earnings	59,000 – 10,000 (i.e. 200,000 × 5%)	49,000	
Ordinary Dividends	25,000 – 10,000	15,000	
No. Ordinary shares		900,000	
ROCE		5.36%	4.8%
Return on equity funds	$\frac{\text{Earnings} \times 100}{\text{OSC + Reserves}}$		
	$\frac{49{,}000 \times 100}{900{,}000 + 98{,}000}$	4.91%	
	$\frac{33{,}300^* \times 100}{900{,}000 + 64{,}000}$		3.45%

** (0.037 × 900,000 = 33,300)*

Acid Test Ratio	$\frac{\text{Current Assets – C Stock}}{\text{Current Liabilities}}$		
	$\frac{187{,}000 - 62{,}000}{114{,}000}$ = 1.1 : 1		1.2 : 1
Capital Gearing	$\frac{\text{Loans + Pref Share Cap.}}{\text{Capital Employed}} \times 100$		
	$\frac{200{,}000 + 200{,}000}{1{,}398{,}000} \times 100 =$ 28.61%		44.2%
Interest Cover		4.69 times	6.2 times
EPS		5.4c	3.7c
DPS		1.67c	1.5c
Dividend Cover	$\frac{\text{EPS}}{\text{DPS}}$	3.23 times	2.47 times
P/E		8.33 years	10 years
Dividend Yield	$\frac{\text{DPS} \times 100}{\text{Market Price}}$	3.71%	4.05%

(c) What would encourage existing shareholders to buy extra shares in a company? (10)

A shareholder would be inclined to buy extra shares if: (any 5 × 2 marks each)

1 The company is liquid;
2 The company is profitable;
3 The company is not highly geared;
4 The Dividend Yield is relatively high;
5 The Dividend Cover is high (>2);
6 The company has good long-term prospects;
7 The trends in profits and share price are good;
8 The company is giving a discount on the market price of the shares.
9 The sector that the company was involved in was of a particular interest,
e.g. many people have an affiliation to companies involved with health and safety.

6. Tabular Statement

Willett Ltd. – Tabular Statement at 31/12/2020

					W	W	W				W	W	W	W		Total
Assets	**01/01/2020**	**Jan**	**Feb**	**Mar**	**April**	**May**	**June***	**June**	**July**	**Sept**	**Oct**	**Nov**	**Dec***	**Dec (1)**	**Dec (2)**	**31/12/20**
Land and buildings	310,000	40,000 **(3)**			85,000 **(2)**											435,000 **(1)**
Depreciation (L & B)	(25,000)	25,000 **(3)**													(6,275) **(2)**	(6,275)
Motor vehicles	80,000				20,000 **(2)**									18,000 **(2)**		118,000
Depreciation (MV)	(34,000)													3,200 **(2)**	(12,750) **(2)**	(43,550)
Investments	45,000									(35,000) **(2)**						44,965
Stock	27,500				3,000 **(2)**	(16,000) **(2)**					1,200 **(2)**					31,684
Debtors	25,000					24,600 **(2)**			(870) **(2)**		(1,700) **(2)**	1,125 **(2)**				49,853
Bad debt provision	(1,000)		(250) **(2)**													(1,250) **(1)**
Rent prepaid	1,200						4,800 **(2)**						(3,600) **(2)**			5,996
Bank	-6,250		(850) **(2)**	132,000 **(2)**			(4,800) **(2)**	2,500 **(2)**	850 **(2)**			750 **(2)**		(23,500) **(2)**		128,972 **(1)**
Goodwill					14,500 **(2)**											14,500
Total Assets	**422,450**	**65,000**	**(1,100)**	**132,000**	**122,500**	**8,600**	**0**	**2,500**	**(20)**	**(35,000)**	**(500)**	**1,875**	**(3,600)**	**(2,300)**	**(19,025)**	**754,344**
Liabilities																
Creditors	16,850				32,500 **(2)**											49,350
VAT	3,200					4,600 **(2)**					(345) **(1)**					2,855
Wages due	850		(850) **(2)**													0
Loan	65,000									(35,000) **(2)**						64,965
Share capital	300,000			120,000 **(2)**	80,000 **(2)**											500,000
Share premium	10,000			12,000 **(2)**	10,000 **(2)**											32,000 **(1)**
Profit & loss	26,550		(250) **(2)**			4,000 **(2)**		2,500 **(2)**	(20) **(2)**		(155) **(2)**	1,875 **(2)**	(3,600) **(2)**	(2,300) **(2)**	(19,025) **(2)**	30,475 **(2)**
Revaluation reserve		65,000 **(3)**														65,000
Total Liabilities	**422,450**	**65,000**	**(1,100)**	**132,000**	**122,500**	**8,600**	**0**	**2,500**	**(20)**	**(35,000)**	**(500)**	**1,875**	**(3,600)**	**(2,300)**	**(19,025)**	**754,344**
																6
		9	8	6	14	8	4	4	6	4	7	6	4	8	6	100

WORKINGS:

			€	€
April:	Assets:	Buildings	85,000	
		M.V.	20,000	
		Stock	3,000	108,000
	Liabilities:	Creditors	32,500	32,500
		Worth		75,500
	Paid >	Shares	80,000	
		Sh. Prem	10,000	90,000
		Goodwill		14,500

May:

	€	Step 1	Step 2
Cost	16,000		100%
Profit	4,000		25%
Sale Price	20,000	100%	125%
VAT	4,600	23%	
Total Price	24,600	123%	

June: **Rent**

Bank	4,800	
P/P 01/01	1,200	
	6,000	
P/P 31/12	-2,400	*4,800 × 6/12*
Dec: **P & L**	3,600	

Oct:

		Step 1	Step 2		
Cost	1,200		100%	>	**1,200**
Profit	300	25%		>	**155**
Sale Price	1,500	100%	125%	>	**1,355**
VAT	345	23%		>	**345**
Total Price	1,845	123%		>	**1,700**

Nov: **Bad Debt Recovered**

Rec'd	750	
Full Debt recovered	**1,875**	*750 × 100/40*
Due 31/12	1,125	

Dec (1):

Motor Vehicles A/C

B/D	80,000	Disposal	22,000
Trade In	16,500		
Bank	23,500	C/D	98,000
	120,000		120,000

Provision for Depreciation A/C

Disposal	3,200	B/D	34,000
C/D	43,550	P & L	12,750
	46,750		46,750

Disposal A/C

M.V.	22,000	Dep	3,200
		Trade In	16,500
		Loss P/L	2,300
	22,000		22,000

Dec (2): Depreciation on Buildings

250,000 × 2% =	5,000	
85,000 × 2% × 9/12 =	1,275	6,275
Depreciation on Motor Vehicles		12,750
		19,025

7. Incomplete Records

(a) H. Stenson
Balance Sheet as at 31/12/2020 **(45)**

		€		€	€	
Intangible Assets						
Goodwill (W1)					35,285	**(3)**
Fixed Assets		Cost		Dep	NBV	
Premises (W3)		290,000	**(1)**	15,000	275,000	**(1)**
Equipment (W8)		10,500	**(2)**	1,575	8,925	**(1)**
		300,500		16,575	283,925	
Financial Assets						
Investment Fund					19,255	**(2)**
					338,465	
Current Assets						
Debtors	(W11)	13,440	**(3)**			
Stock	(W12)	10,400	**(3)**			
Bank	(W2)	124,850	**(2)**			
Rates prepaid (W9)		1,700	**(2)**	150,390		
Less Creditors (amounts due within 1 year)						
Creditors		10,200	**(2)**			
VAT	(W13)	3,000	**(2)**			
Loan Interest due		7,100	**(2)**			
Electricity due (W5)		195	**(2)**	20,495		
Working Capital					129,895	
Total Net Assets					468,360	**
Financed By:						
Creditors (amounts falling due after 1 year)						
Loan					180,000	**(3)**
Capital 01/01/2020				275,000	**(2)**	
+ Introduction				22,500	**(3)**	
				297,500		
+ Net Profit (Loss)		****		18,511	**(2)**	****
				316,011		
- Drawings	(W10)			(27,651)	**(7)**	288,360
Capital Employed						468,360 **

*** Capital Employed is taken from Total Net Assets*

**** Correct figure only

(b) Trading, Profit & Loss Account of H. Stenson for year ended 31/12/2020 **(45)**

		€		€	
Sales	(93,810 × 100/25)		**(2)**	375,240	
- **Cost of Sales**					
Opening Stock		3,500	**(2)**		
+ Purchases	**(295,090 – 6,760) (2)** ***	288,330	**(2)**		
		291,830			
- Closing Stock (W12)		(10,400)	**(2)**		
Cost of Sales				281,430	**(2)**
Gross Profit				93,810	**(2)**
+ **Other Income**					
Investment Fund Interest (W4)				55	**(3)**
Total Income				93,865	
- **Expenses**					
Light & Heat (W4)		3,479	**(4)**		
Interest (W6)		7,200	**(4)**		
Wages & General Exps (W7)		43,390	**(4)**		
Rates (W9)		4,150	**(4)**		
Bad Debt provision (W11)		560	**(4)**		
Depreciation: Premises (W3)		15,000	**(4)**		
Equipment (W8)		1,575	**(4)**	(75,354)	
Net Profit				18,511	

*** Original Purchases = (288,330 + 6,760) = 295,090

(c) Effects of Covid-19 pandemic on small businesses (3 + 3 + 2 + 2) **(10)**

* Some businesses that were already under pressure did not have sufficient resources to cope with temporary closure and were forced to remain closed;
* The cost of all the adjustments to their existing business model has proven quite expensive and put already struggling businesses on the brink of permanent closure;
* Some businesses found it difficult to get staff back to work as they felt they were financially better off staying out with the Covid-19 payment of €350 per week;
* For certain types of businesses, e.g. pubs, retaurants, coaches, etc., social distancing does not work very well and so puts their viability at risk;
* People's spending habits have changed and it may be difficult for certain types of business to win back customers, e.g. a lot more people now buying online.
* Some small businesses had to adapt to a changing retail environment, e.g. online shopping, click & collect, home deliveries, takeaway sales etc.
* Small businesses can avail of financial supports offered by government, e.g. Wage subsidy, Covid-19 Credit Guarantee Scheme, Trading Online Voucher, Rates Waiver.
* Moving to level 5 restrictions meant some small businesses had to close again e.g. hairdressers.

** any other logical answers will pick up marks.*

Workings

1 **Goodwill**

	€	€
Assets		
Premises	150,000	
Stock	3,500	
Debtors	4,700	
Rates prepaid	750	
Heating Oil	270	
Stationery	190	159,410 **(1)**
Liabilities		
Creditors	6,450	
VAT	13,000	
L&H due	245	19,695 **(1)**
		139,715
Paid		175,000 **(1)**
Goodwill		**35,285**

2 **Bank A/C**

Capital	275,000	Business	175,000
Loan	180,000	Premises	140,000
Dividends	2,500	L & H	4,750
Inheritance	20,000	Interest	2,500
Cash lgts	74,600	Wages & Gen Exps	43,200
		Equipment	15,000
		Rates	5,100
		College Fees	3,500
		Drawings Fuel	2,500
		Drawings Household	6,500
		Investment Fund	19,200
		VAT	10,000
		Balance c/d	124,850
	552,100		552,100
Bal b/d	124,850 **(2)**		

3 **Premises**

Cost 01/01	150,000 **(1)**
+ Bank	140,000 **(1)**
	290,000
Value 31/12	275,000
Depreciation	15,000 **(4 P&L)**

4 **Investment Fund**

Bank	19,200 **(1)**
Investment interest due 31/12	55 **(1)** **(3 P&L)**
P&L	19,255

5 **Light & Heat**

Bank	4,750 **(1)**
- due 01/01	-245 **(1)**
+ Stock 01/01	270 **(1)**
+ due 31/12	195 (2 BS)
Used	4,970
- Drawings 30%	-1,491 **(1)**
P & L	3,479

6 **Interest**

Bank	2,500	**(1)**
+ due @ 31/12	7,100	**(1)(2 BS)**
Payable (180,000 × 8% × 8/12)	9,600	**(1)**
- Drawings 25%	–2,400	**(1)**
P & L	7,200	

7 **Wages & General Expenses**

Bank	43,200	**(2)**
+ Stock of Stationery 01/01	190	**(2)**
P & L	43,390	

8 **Equipment**

Bank	15,000	**(1)**
- Drawings 30%	-4,500	**(1)**
	10,500	
- Depreciation 15%	-1,575	**(1)(4 P&L)**
BS	8,925	

9 **Rates**

Bank	5,100	**(1)**
+ prepaid 01/01	750	**(2)**
	5,850	
- prepaid 31/12(5,000 × 4/12)	-1,700	**(1) (2 BS)**
P & L	4,150	

10 **Drawings**

Stock	(130 × 52)	6,760	**(1)**
Cash	(125 × 52)	6,500	**(1)**
L & H		1,491	**(1)**
Interest		2,400	**(1)**
Equipment		4,500	**(1)**
Bank – College Fees		3,500	**(1)**
Bank – Fuel		2,500	**(1)**
Total		27,651	

11 **Debtors**

Balance 31/12	16,500	**(1)**
- Sale or Return	-2,500	**(1)**
	14,000	
- Bad Debt Provision (4%)	-560	**(1) (4 P&L)**
BS	13,440	

12 Stock

31/12	8,400	**(1)**
+ Sale or Return (2,500 x100/125)	2,000	**(1)**
BS	10,400	**(1)**

P&L *2 marks provided it is the same as Balance Sheet figure*

13 **VAT**

due 01/01	13,000	**(1)**
Bank	-10,000	**(1)**
due 31/12/2020	3,000	

8. Stock Valuation, Product Costing, Under and Over Absorption

Notes for Examiner

* *Accept student's own figure from previous calculations;*
* *Full marks for correct answer even if no workings shown;*
* *Accept student's own method, if different to that shown.*

(a) (i) Purchases **(27)**

Units	Price €	Cost (€)
4,600	7	32,200
7,400	8	59,200
2,400	9	21,600
14,400		113,000

Sales

Units	Selling Price €	Sales Revenue
1,300	12	15,600
4,800	13	62,400
4,400	14	61,600
2,150	15	32,250
12,650		171,850

Closing Stock (Units)

Closing Stock = Opening Stock + Purchases – Sales

= 1,400 + 14,400 – 12,650
(2) + (2) + (2)
= 3,150 units **(6)**

Value of Closing Stock (FIFO)

Units	Cost €	Value €	
2,400	9	21,600	**(2)**
750	8	6,000	**(2)**
3,150		27,600	**(4)**

(ii) Trading account for Xander Ltd for year ended 31/12/2020

€	€		€	
Sales			171,850	**(3)**
less Cost of Sales:				
Opening stock	8,400	**(2)**		
Purchases	113,000	**(2)**		
	121,400			
- Closing stock	(27,600)	**(2)**	(93,800)	
Gross Profit			78,050	**(2)**

(iii) Effect on Gross Profit of overvaluing Closing Stock

If Closing Stock is overvalued in the accounts, this will have the effect of reducing the cost of sales and in turn increasing the Gross Profit figure in the Trading account. **(2)**

(b) Product Costing **(34)**

(i) Overhead absorption rates:

Manufacturing	= 250,000 / 40,000	= €6.25 per direct labour hour	**(2)**
Assembly	= 160,000 / 12,500	= €12.80 per direct labour hour	**(2)**
Finishing	= 40,000 / 3,200	= €12.50 per direct labour hour.	**(2)**

(ii) Selling Price of Job Number 1920X

		€		€	
Direct Materials	(35 × €11.50)			402,50	**(4)**
Direct Labour					
Manufacturing	(25 × €8.50)	212.50	**(2)**		
Assembly	(8 × €3.50)	28.00	**(2)**		
Finishing	(5 × €6.25)	31.25	**(2)**	271.75	
Prime Cost				674.25	
Absorbed Overheads					
Manufacturing	(25 × €6.25)	156.25	**(3)**		
Assembly	(8 × €12.80)	102.40	**(3)**		
Finishing	(5 × €12.50)	62.50	**(3)**	321.15	
General Administration Overhead (38 × €18)**				684.00	**(3)**
Total Cost	(66 2/3%)			1679.40	**(3)**
Profit	(33 1/3% of selling price)			839.70	
Selling Price				2,519.10	**(3)**

** *General Administration rate = 1,002,600/55,700 hours = €18 per hour*

(c) (i) Under and over absorption of overheads **(19)**

$$\text{Overhead rate} = \frac{\text{Overhead}}{\text{Number of hours}}$$

Dept. A	**Dept. B**	**Dept. C**
€ 196,000 / 28,000	€ 40,500 / 45,000	€ 66,250 / 25,000
= **€7 per** **(2)** Machine hour	**€0.90 per** **(2)** Direct Lab. Hour	**€2.65 per** **(2)** Direct Lab. hour

(ii) Under/over absorption of overheads

	Dept. A	**Dept. B**	**Dept. C**	**Total**
	€	€	€	€
Actual overhead	195,000 **(1)**	38,400 **(1)**	68,000 **(1)**	301,400
Absorbed overhead	*(7 × 29,000)*	*(0.90 × 42,000)*	*(2.65 × 26,000)*	
	203,000 **(2)**	37,800 **(2)**	68,900 **(2)**	309,700
Over (under) absorbed	8,000	(600)	900	8,300

(iii) Over-absorption of overheads – implications

* If there is an over-absorption of overheads this means that the actual costs were less than expected. This therefore means that the net profit will be greater than expected. **(2)**
* If budgeted costs are greater than actual this could mean that a job/product was being quoted at a price that was higher than was necessary, therefore making a firm uncompetitive in the marketplace. **(2)**

9. Budgeting

(a) Production Budget (11)

	July	August	Sept	Oct	Nov
Sales	750 (1)	800 (1)	850 (1)	900 (1)	940
+ Closing Stock	560 (1)	595 (1)	630 (1)	658 (1)	686
	1,310	1,395	1,480	1,558	1,626
- Opening Stock	0	-560 (1)	-595 (1)	-630 (1)	-658
Production units	1,310	835	885	928	968

(b) Raw Materials Purchases Budget (13)

		July	August	Sept	Oct	Nov
**	Production units	1,310 (½)	835 (½)	885 (½)	928 (½)	968
	Materials (kg) per unit	x 10 (½)	x 10	x 10	x 10	x 10
**	Total kgs req'd for Prod	13,100 (½)	8,350 (½)	8,850 (½)	9,280 (½)	9,680
**	+ Closing Stock	2,505 (½)	2,655 (½)	2,784 (½)	2,904 (1)	
		15,605	11,005	11,634	12,184	
**	- Opening Stock	0	-2,505 (½)	-2,655 (½)	-2,784 (½)	
**	Req'd Purchases (kgs)	**15,605** (½)	**8,500** (½)	**8,979** (½)	**9,400** (½)	
	Price per kg (€)	5,00 (½)	5,00	5,00	5,00	**Total**
**	Total Purchases (€)	**78,025** (½)	**42,500** (½)	**44,895** (½)	**47,000** (½)	**€ 212,420**

*** Accept student's own figure(s) if consistent with previous work.*

(c) Cash Budget – July to Oct

		July	Aug	Sept	Oct	Total	(35)
Receipts							
Sales	Cash	53,865 (1)	57,456 (1)	61,047 (1)	64,638 (1)	**237,006**	
	One Month Credit	0	18,900 (1)	20,160 (1)	21,420 (1)	**60,480**	
	Two Months Credit	0	0	18,900 (1)	20,160 (1)	**39,060**	
**	Equipment Loan	0	15,000 (1)	0	0	**15,000**	
		53,865	91,356	100,107	106,218	**351,546**	
Payments							
***	Purchases	0	78,025 (1)	42,500 (1)	44,895 (1)	**165,420**	
	Wages	0	18,500 (1)	18,500 (1)	18,500 (1)	**55,500**	
***	Variable overheads	6,550 (1)	4,175 (1)	4,425 (1)	4,640 (1)	**19,790**	
	Fixed overheads	15,800 (1)	15,800 (1)	15,800 (1)	15,800 (1)	**63,200**	
	Equipment		21,200 (1)			**21,200**	
	Loan Interest		100 (1)	100 (1)	100 (1)	**300**	
	Overdraft Interest			81 (1)		**81**	
		22,350	137,800	81,406	83,935	**325,491**	
	Net Cash	31,515 (1)	–46,444 (1)	18,701 (1)	22,283 (1)	**26,055**	
*** Loan can also be shown here*							
	Opening Cash	0	31,515	–14,929	3,772	0	
	Closing Cash	31,515	-14,929	3,772	26,055 (2)	**26,055**	
Alternative							
**	Net Cash	31,515	-61,444	18,701	22,283	**26,055**	
	Bank Loan		15,000				
	Opening Cash	0	31,515	-14,929	3,772	**0**	
	Closing Cash	31,515	-14,929	3,772	26,055	**26,055**	

**** Accept student's own figure(s) if consistent with previous work. Note: There is no marks for figures in 'Total' column*

(d) Budgeted Trading, Profit and Loss Account for the 4 months ended 31/10/2021 **(14)**

		€	€	€	
	Sales			415,800 **(1)**	
Less: Cost of Sales					
	Opening Stock		0		
	+ Purchases		212,420 **(1)**		
			212,420		
**	- Closing Stock – Finished Goods	44,744 **(1)**			
	Raw Materials	14,520 **(1)**	-59,264	-153,156	
	Gross Profit			**262,644**	
Less: Expenses					
	Wages		74,000 **(2)**		
	Variable O/H		19,790 **(1)**		
	Fixed O/H		63,200 **(1)**		
	Depreciation – Equipment		800 **(1)**		
	Discount Allowed		12,474 **(2)**	-170,264	
	Operating Profit			**92,380**	
	Interest *		*	-381 **(1)**	
	Net Profit			91,999 **(2)**	***
				correct figure only	***

* *Interest does not have to be shown as a separate expense in management accounts*
Accept student's own figure if consistent with previous work.Note: Layout of P&L account may vary.

** *Closing Stock valuation: Finished goods =658 × 68 =44,744*
Raw Materials =2,904 × 5 =14,520

Alternative solutions to (d) above

Budgeted Manufacturing A/C For 4 months ended 31/10/2021

Raw Materials	€	€
Opening Stock	0	
+ Purchases	212,420	
	212,420	
- Closing Stock (raw materials)	-14,520	197,900
Wages		74,000
		271,900
Variable O/Hs	19,790	
Fixed O/Hs	63,200	
Depreciation – Equipment	800	83,790
Cost of Production		**355,690**

Budgeted Trading, Profit and Loss Account for the 4 months ended 31/10/2021

	€	€
Sales		415,800
less **Cost of Sales**		
Opening Stock	0	
Cost of Production	355,690	
	355,690	
less Closing Stock (finished goods)	-44,744	310,946
Gross Profit		104,854
less Expenses		
Discount Allowed	12,474	
Bank Interest	381	12,855
Net Profit		91,999

(e) Advice for Berger Ltd **(7)**

> At the end of October Berger Ltd expects to have a cash surplus of €26,055 and a Net Profit of €91,999 for the same 4-month period. **compulsory** **(3)**
*** and any two of 3 points below**

> There is a difference of €65,944, which is due mainly to the time delay in receiving payment from some customers. **(2)***

> If this is allowed to continue, Berger Ltd could end up being affected by the consequences of over trading, i.e. carrying on a very high level of trade on credit. **(2)***

> Berger Ltd should consider introducing a stricter credit control system, i.e. encourage customers to pay immediately or at most allow only one month's credit. **(2)***

Any other logical statement(s) will also gain the marks.

Workings:

Production Budget

Closing Stock: July > 800 × 70%	=	560
Aug > 850 × 70%	=	595, etc.

Raw Materials Purchases Budget

Closing Stock: July > 8350 × 30%	=	2,505
Aug > 8850 × 30%	=	2,655, etc.

Cash Budget

Sales: July > July = 94,500 × 60% × 95%	=	53,865
July > Aug = 94,500 × 20%	=	18,900
July > Sept = 94,500 × 20%	=	18,900 etc.
Variable Overheads: July > 1,310 × 5	=	6,550
Aug > 835 × 5	=	4,175 etc.
Fixed Overheads		
Depreciation = 21,200 – 2,000	=	19,200
19,200 / 8 years	=	2,400 per annum
2,400 / 12 months	=	200 per month
July > 16,000 – 200	=	15,800 etc.
Loan Interest: 15,000 × 8%	=	1,200 per annum
	=	100 per month
Overdraft Interest: 14,929 × 6.5%	=	970.39 per annum
	=	€81 per month

Budgeted Profit & Loss Account

Discount Allowed		
Sales> 415,800 × 60% × 5%	=	12,474